

to Prashant Garg, Technology Consulting Partner at EY India, conversational commerce usually involves products like apparel, fashion products, FMCG, fresh foods or other consumer goods. He adds that if a generative AI-powered chatbot starts conversing with customers, a third of them end up buying a product. "The bot has methods and a mechanism built in to engage with customers and keep them engaged till the decision to buy is made," he says.

According to independent data platform Statista, total spending over conversational commerce channels worldwide will jump to \$290 billion in 2025 from \$41 billion in 2021. And while the market is still nascent in India, it has huge potential. According to Akhilesh Tuteja, Partner & Head of Technology, Media and Telecommunication at KPMG in India, India is home to the largest consumer base for the biggest conversational commerce enablers. "India is home to more than 600 million smartphones with one of the cheapest internet connections in the world. This infrastructure, along with the reach provided by these platforms and vernacular accessibility through voice commands, sets the right platform for Indian as well as global brands to penetrate the Tier II and Tier III cities. The new generation in these cities is more aspirational, tech-savvy and has increased disposable income," he says. Although India is a long way from China, it still has 200 million-plus online shoppers, 65 million-plus MSMEs and \$100 billion in gross merchandise value (GMV) today—the total addressable market for conversational commerce is huge, he adds. EY's Prashant Garg agrees. "In two years' time... we will be nearly a quarter of whatever China is now," he says.

No wonder that for Meta, conversational commerce, or 'business messaging' as the company calls it, is its next big bet. In India, its tie-up with JioMart is significant since WhatsApp had more

than 500 million users in India per an IT ministry release in February 2021, while JioMart—part of billionaire Mukesh Ambani-led Reliance Industries—has more than two million merchant partners. The tie-up was a "lighthouse example" for the world, Nicola Mendelsohn, Vice President of Global Business Group at Meta, had told *BT* in an earlier interaction, adding that all types of businesses were already working organically on WhatsApp.

Ravi Garg says that since the roll-out of the service in late August, a lot of businesses have approached Meta and shown interest in building a similar experience. "We built the business platform—WhatsApp—and it can enable any type of business on the platform," he says. Business messaging can be used across all of Meta's platforms, and Ravi Garg says that the company is looking at three ways to monetise its messaging platform. First is the WhatsApp Business App, which is free to use for small businesses; now, Meta is planning to add a subscription layer, which will give users access to advanced features. Second, its WhatsApp Business Platform API, which is for medium and large businesses. Here, businesses are charged for conversations they have with customers. The third revenue stream is click-to-messaging ads, wherein, by clicking on an ad on Facebook or Instagram, one lands on a messaging conversation.

META'S BULLISHNESS ON business messaging in India is backed by research. According to a Kantar survey commissioned by Meta in April 2022, more than 70 per cent of Indians surveyed said they prefer to message businesses rather than send emails, call or visit their website, while 75 per cent said they are more likely to do business with/purchase from a company that they can contact via messaging. The survey adds that 86 per cent of adults in India mes-

BUYING SMART

1

CONVERSATIONAL COMMERCE PLATFORMS ENGAGE CUSTOMERS IN A CONVERSATION TO HELP THEM SHOP

2

SUCH PRODUCTS ARE USUALLY SMALL-TICKET ITEMS LIKE APPAREL, FASHION PRODUCTS, FMCG OR FRESH FOODS

3

AI-ENABLED CHATBOTS PROVIDE A PERSONALISED EXPERIENCE AND KEEP THE CUSTOMER ENGAGED TILL A DECISION TO BUY IS MADE

4

TOTAL SPENDING OVER CONVERSATIONAL COMMERCE CHANNELS WORLDWIDE WILL JUMP TO \$290 BILLION IN 2025 FROM \$41 BILLION IN 2021, PER STATISTA

5

WHILE IT IS STILL IN A NASCENT STAGE, RISING SMARTPHONE PENETRATION AND CHEAP INTERNET ARE LIKELY TO DRIVE CONVERSATIONAL COMMERCE IN INDIA